CASCADIA ANALYTICS

# ASML Holding N.V.

Equity Research Note | ASML | 21 OCTOBER 2026

## Unassailable Monopoly

ASML Holding N.V. screens as a Hold, Valuation Concerns with a $1,446.59 blended target, 11% below the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $1,630.84 | $1,446.59 | -11% | HOLD, VALUATION CONCERNS |

### Investment Thesis

Unassailable Monopoly. ASML holds 100% share in EUV lithography with no commercial alternative for sub-7nm patterning. Gross margin of 57.5% [10-Q Q3 FY26] reflects pricing power no peer can match. AI Capex Supercycle. Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% [8-K guid] on HBM demand. Price Demands Perfection. At $1,642 [Mkt 16-Oct-26], the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our $1,418.71 base target

- Unassailable Monopoly
- AI Capex Supercycle
- Price Demands Perfection

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## The latest print

**AI Capex Supercycle.** Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% on HBM demand.

**Price Demands Perfection.** At $1,642, the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our $1,418.71 base target implies 13.6% downside. Exceptional business, demanding price.

| €11.66B | 57.5% | €4.96B | €3.29B | €12.7B | 113 |
|---|---|---|---|---|---|
| REVENUE (Q3) | GROSS MARGIN | NET INCOME | INSTALLED BASE MGMT | CASH & INVESTMENTS | NEW SYSTEMS SOLD |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q3)** | €11.66B | +55.0% | Up |
| **Gross Margin** | 57.5% | +3.5 pts | Up |
| **Net Income** | €4.96B | +133% | Up |
| **Installed Base Mgmt** | €3.29B | +19% QoQ | Up |
| **Cash & Investments** | €12.7B | +68% QoQ | Up |
| **New Systems Sold** | 113 | +27 QoQ | Up |
| **FCF Margin (LTM)** | 28.5% | n/a | Up |
| **Net Cash** | €11.0B | n/a | Up |

## The moat

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV)

## The growth engine

Memory capex: 75% growth guided for 2026 on HBM/AI demand

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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ASML Holding N.V. valuation framework

| SCENARIO | WEIGHT | 2026-31 CAGR | 2031 REVENUE | 2031 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 10.5% | $73.31B | 42.5% | **$1,163.84** | -29% |
| **Base** | 50% | 14.0% | $85.68B | 45.0% | **$1,418.71** | -13% |
| **Bull** | 25% | 18.5% | $103.98B | 47.5% | **$1,785.11** | +9% |

**Bear:** downside case at $1,163.84 (-29%).

**Base:** central case at $1,418.71 (-13%).

**Bull:** upside case at $1,785.11 (+9%).

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# The probability-blended target implies 11% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -11% from the $1,630.84 reference price.

**$1,446.59**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2025E) | **$44.50B** |
| Valuation horizon | **2026-2031** |
| Live WACC | **9.89%** |
| WACC path (Year 1 to final year) | **9.89% to 8.79%** |
| Terminal growth | **4.0%** |
| Net cash | **$10.99B** |
| 2031 FCF (Base) | **$30.39B** |
| 10-year Treasury yield | **5.1%** |
| Beta | **1.30** |
| Equity risk premium | **3.7%** |

**HOLD, VALUATION CONCERNS | $1,446.59 BLENDED TARGET | WEN**

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## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 22.5%. at/above Bull (18.5%) , euphoric

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| -10% | $149.0B | $416.60 | +10% | $346.2B | $929.86 | +30% | $739.7B | $1,954.52 |
| -9% | $155.7B | $433.93 | +11% | $360.3B | $966.70 | | | |
| -8% | $162.6B | $451.99 | +12% | $375.0B | $1,004.83 | | | |
| -7% | $169.8B | $470.79 | +13% | $390.1B | $1,044.29 | | | |
| -6% | $177.4B | $490.36 | +14% | $405.8B | $1,085.12 | | | |
| -5% | $185.2B | $510.73 | +15% | $422.0B | $1,127.33 | | | |
| -4% | $193.3B | $531.92 | +16% | $438.8B | $1,170.99 | | | |
| -3% | $201.8B | $553.95 | +17% | $456.1B | $1,216.11 | | | |
| -2% | $210.6B | $576.86 | +18% | $474.0B | $1,262.74 | | | |
| -1% | $219.7B | $600.66 | +19% | $492.5B | $1,310.92 | | | |
| +0% | $229.2B | $625.39 | +20% | $511.6B | $1,360.68 | | | |
| +1% | $239.1B | $651.07 | +21% | $531.4B | $1,412.07 | | | |
| +2% | $249.3B | $677.73 | +22% | $551.8B | $1,465.13 | | | |
| +3% | $260.0B | $705.40 | **+23%** | **$572.8B** | **$1,519.89** | | | |
| +4% | $271.0B | $734.10 | +24% | $594.5B | $1,576.39 | | | |
| +5% | $282.4B | $763.88 | +25% | $616.9B | $1,634.69 | | | |
| +6% | $294.3B | $794.75 | +26% | $640.0B | $1,694.81 | | | |
| +7% | $306.6B | $826.76 | +27% | $663.8B | $1,756.82 | | | |
| +8% | $319.3B | $859.92 | +28% | $688.4B | $1,820.74 | | | |
| +9% | $332.5B | $894.28 | +29% | $713.7B | $1,886.63 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $387.82B | — | 4.0% | $10.99B | $398.81B | **$1,163.84** |
| **Base** | $475.16B | — | 4.0% | $10.99B | $486.16B | **$1,418.71** |
| **Bull** | $600.74B | — | 4.0% | $10.99B | $611.73B | **$1,785.11** |

## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 |
|---|---|---|---|---|---|---|---|
| **Bear** | $1,163.84 | $1,278.94 | $1,367.36 | $1,459.31 | $1,554.84 | $1,653.64 | $1,755.08 |
| **Base** | $1,418.71 | $1,559.02 | $1,675.14 | $1,795.61 | $1,919.96 | $2,047.02 | $2,175.64 |
| **Bull** | $1,785.11 | $1,961.66 | $2,117.60 | $2,279.49 | $2,445.84 | $2,614.43 | $2,782.50 |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,446.59 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# The franchise deep dive

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV)

Memory capex: 75% growth guided for 2026 on HBM/AI demand

Installed Base Management compounding at ~50% growth

## Revenue and margin trend

| METRIC | FY22 | FY23 | FY24 | FY25E | LTM |
|---|---|---|---|---|---|
| **Revenue** | €21.2B | €27.6B | €28.3B | €32.5B | €40.1B |
| **Gross Margin** | 50.5% | 51.3% | 51.9% | 53.0% | 56.2% |
| **Net Income** | €5.6B | €7.8B | €7.6B | €9.2B | €14.1B |

## Valuation cross-check

P/E (fwd) 26.2x

EV/EBITDA 28x

FCF Yield ~4.4%

Multiples assume flawless execution; cash yield alone does not compensate.

AMAT 20x P/E

LRCX 22x P/E

KLAC 24x P/E

ASML commands a ~25% premium to equipment peers. Monopoly justifies part of it, not all.

Current 28x EV/EBITDA

5-Yr Avg ~20x

Trading in the top quartile of its own history, pricing in a sustained upcycle.

## What to monitor

**Jan 2027.** Q4 FY26 Earnings (Two-Sided): Test of €14.2-15.2B guide and High-NA shipment pace.

**2027-2028.** High-NA Volume Ramp (Positive): 0.55 NA systems moving to volume production at TSMC/Intel.

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**Ongoing.** China Export Policy (Two-Sided): Further DUV restrictions would remove ~20% revenue exposure.

## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2021** | $18.6B | $9.8B | $6.8B | — |
| **2022** | $21.2B | $10.7B | $6.5B | $7.1B |
| **2023** | $27.6B | $14.1B | $9.0B | $10.0B |
| **2024** | $28.3B | $14.5B | $9.0B | $10.1B |
| **2025** | $32.7B | $17.3B | $11.3B | $12.6B |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2021** | $30.2B | $20.1B | $10.1B | $7.0B |
| **2022** | $36.3B | $27.5B | $8.8B | $7.3B |
| **2023** | $40.0B | $26.5B | $13.5B | $7.0B |
| **2024** | $48.6B | $30.1B | $18.5B | $12.7B |
| **2025** | $50.6B | $31.0B | $19.6B | $12.9B |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2021** | $10.8B | $-901M | $-9.9B | $9.9B |
| **2022** | — | $-1.3B | $-7.1B | $7.2B |
| **2023** | — | $-2.2B | $-3.0B | $3.2B |
| **2024** | — | $-2.1B | $-2.8B | $9.1B |
| **2025** | — | $-1.6B | $-8.7B | $11.0B |

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Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,446.59 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# Agency risk score 46 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.01% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is +61.2% against CEO total pay of $4.24M (Mr. Christophe D. Fouquet), which the model scores as PERFORMANCE EARNED.

**46**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 2 / 40 | 0.01% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 18 / 30 | Buys $0 (0) vs sales $0 (0), net $0, trailing six months |
| **Pay-for-Performance** | 26 / 30 | PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +61.2%; Mr. Christophe D. Fouquet, President, CEO and Chair of the Board of Management, total pay $4.24M |
| **Agency Risk Score** | **46 / 100** | Regime: BALANCED / TYPICAL CORPORATE |

## SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

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Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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## The bear case

### China Export Controls

Tightening restrictions on DUV lithography exports threaten approximately 20% of revenue tied to Chinese fabs.

### Semiconductor Cyclicality

WFE spending is inherently cyclical; a downturn in memory or logic capex would hit bookings with a 12-18 month lead time.

### Customer Concentration

A handful of foundries (TSMC, Samsung, Intel) drive the majority of system sales, concentrating demand risk.

## The strengths

### Operating Quality

Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score.

### Recent Trend

Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration.

### Forward Growth

High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable.

### Valuation

Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 21.9% CAGR, above our bull case.

## Cascadia scorecard

**Composite score 68: Attractive.** Confidence High, as of 16-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score. | 88 |
| **Recent Trend** | Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration. | 90 |
| **Forward Growth** | High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable. | 82 |
| **Valuation** | Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 21.9% CAGR, above our bull case. | 32 |
| **Catalysts & Risk** | Q4 print and High-NA shipments are near-term positives; China export controls and multiple compression are live risks. Balanced skew. | 55 |

## Investment view

A pullback toward our $1,418.71 base case would flip Valuation from a drag to neutral and likely lift the composite into the mid-70s. Conversely, any High-NA delay or China revenue loss would cut Forward Growth and Catalysts simultaneously.

**Investment view: Hold, Valuation Concerns. The $1,446.59 blended target implies -11%, balancing the $1,163.84 / $1,418.71 / $1,785.11 Bear / Base / Bull outcomes.**

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